

EVERYDAY ECON

*Inside of
an
airplane*



WHY AIRLINE TICKETS FLUCTUATE

If you've ever noticed that plane ticket prices never seem the same, you're not alone and you're not seeing things. These price inconsistencies aren't random — they're the result of deliberate manipulation and economics at work.

Plane seats are limited in supply; it's not possible to supply more as demand increases, increasing prices. Further contributing to price variation is price discrimination, which airlines use to sell different tickets at different prices. This can look like economy seats being cheaper than business; early buyers getting cheaper fares; or business travelers getting higher prices since they're willing to pay more.

Airlines can also use revenue management algorithms that adjust prices based on timing, number of seats, competitor prices, booking patterns, and seasonality. Ultimately, airfare isn't random at all, it's the result of careful economic strategy that shows every dollar of value from each seat.

POPULATION DECLINE AND ITS IMPACT ON GLOBAL MARKETS

When populations decline, the obvious impacts are that there are less working-age people, but there are other hidden costs as well.

Labor scarcity raises wages, also raising costs for businesses. In addition, countries may import more labor-intensive goods and export less, shifting global economic power towards younger, fast-growing countries instead. In these fast-growing countries, housing shortages and higher prices follow declines in population. However, countries with shrinking populations may lose power as their economics slow and global investors move their investments away towards more promising regions.

Population decline doesn't only affect demographics, it transforms how nations grow, trade, and compete on the global stage.

